



LSESU
Macro Markets Society

MACRO ²⁰²⁶ OUTLOOK

Heads of Research: Wai Lok Law and Hridaya Marghade

Editors: Wai Lok Law and Hridaya Marghade

Designer: Hridaya Marghade

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CONTRIBUTORS

Heads of Research:

Wai Lok Law

Hridaya Marghade

Subcommittee Researchers:

Carol Sheng

Neal Hasan

Yucheng Zhao

Dahyun Oh

Haran Maruthainar

Tejas Bansal

Varun Vats

Society Members:

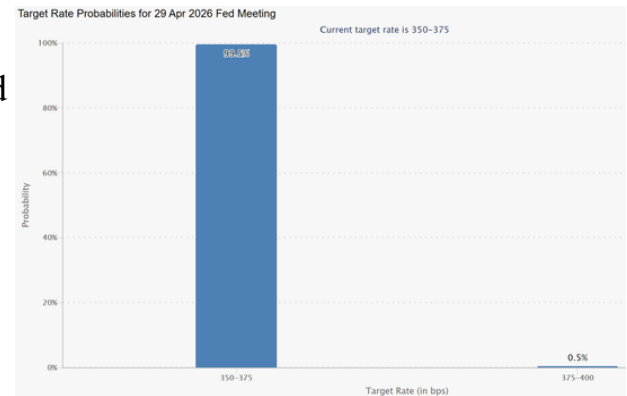
Neal Hasan

Qihang Chen

INTRODUCTION

Disclaimer: Due to the ongoing conflict between the US/Israel and Iran, the report may not be fully up to date and could miss recent developments.

Economic conditions in 2026 remain fragile, influenced by multiple geopolitical tensions, market volatility, and weakening investor confidence. With interest rates sitting between 3.5% and 3.75% and Fed Fund futures data suggesting little change until mid-2026, policy stability contrasts greatly with the instability seen in global markets (CME Group). Recent labour figures further add to the uncertain narrative; unemployment increased by 0.1 percentage points, whilst non-farm payrolls dropped by 92,000, emphasising softening growth in the economy (Trading Economics “Non Farm Payrolls”; Trading Economics “Unemployment Rate”).



Source: CME FedWatch Tool

Geopolitical shocks have further intensified uncertainty and volatility across global markets. Trump’s nomination of Warsh as the new Fed chair in late January coincided with a sharp correction in gold and silver, whilst a renewed conflict between the US/Israel and Iran has resulted in price spikes for oil and gas. Notably, worries of supply disruptions, exemplified by the suspension of oil shipments in the Strait of Hormuz and Qatar’s declaration of force majeure, have increased concerns about elevated energy prices, which may lead to cost-push inflation (Crew; Reuters Staff). Despite the recent release of the strategic oil reserves by the International Energy Agency, the market remains unfazed, as analysts believe the releases are insufficient (Hernandez and Lawler). Thus, such inflation may linger and cause higher rates to persist in the long term.

Investor behaviour further amplifies this already volatile backdrop. In recent years, retail investors have shown greater speculation in markets, drawn by “fast profit” opportunities rather than longer-term investments. Particularly, betting platforms such as Polymarket have seen exponential growth in liquidity, expanding from \$73 million in 2023 to nearly \$9 billion in 2024 (Sacra).

As aforementioned, the secondary surges in gold and silver prices, driven by retail enthusiasm and macroeconomic uncertainty, emphasise how retail sentiment can meaningfully amplify asset price movements. Moreover, software and asset management stocks have also been severely beaten down by sell-offs, as investors increasingly perceive them as being displaced by AI. Investors have become more cautious about the technology sector, shifting their focus towards traditional and defensive industries.



In light of this uncertain environment, our analysts present trade ideas from various asset classes (including FX, commodities, derivatives, and industry ETFs) within a two-year timeframe. Common themes include hedging against geopolitical risk, differences in central bank policies, and bearishness in commodity markets. Personally, I believe that defensive sectors such as utilities may be worth looking at; long-term AI data centre power contracts generate relatively consistent cash flows that drive sustained demand, whilst also being necessary for energy security in the event of a prolonged conflict. Gold may also benefit from its traditional “haven” status, protecting from inflationary pressures caused by energy disruptions and a lower interest rate environment.

Without further ado, below are our analysts’ trade ideas, forming our macro outlook for 2026. I sincerely thank all analysts for their insightful contributions to this project.

Wai Lok Law

Short CPER US Copper Index Fund

Carol Sheng

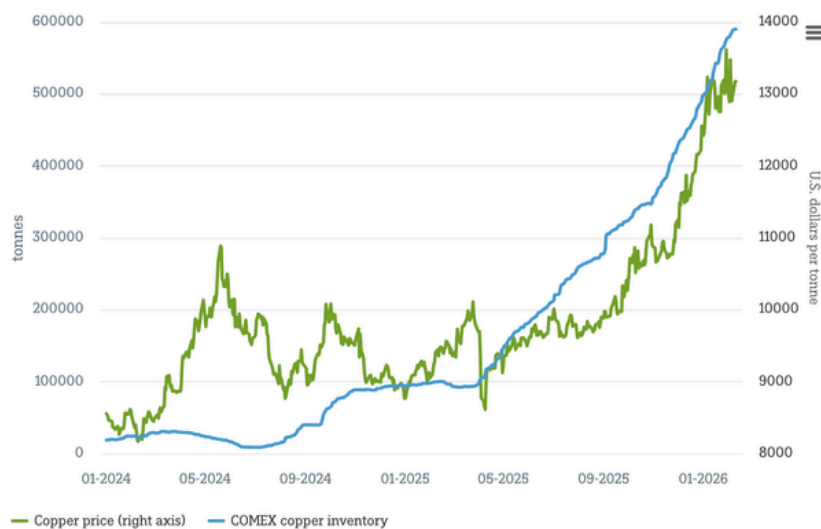
Timeframe	4 months
Ticker	CPER
Entry Price	\$35.46 (13 Mar 2026)
Target Price	\$30

Macroeconomic Background

1. US Tariff Uncertainty

On 30 July 2025, President Trump issued a Presidential Proclamation imposing a 50% tariff on semi-finished copper products and intensive copper derivative imports, effective 1 August 2025. The proclamation directed the Secretary of Commerce to provide an update by 30 June 2026 on whether to impose a phased 15% tariff on refined copper starting January 2027, rising to 30% in 2028 (The White House). Though there was a Supreme Court ruling striking down IEEPA tariffs in February 2026, it left Section 232 copper tariffs intact, so the refined copper tariff decision remains unresolved (Baker McKenzie). Since the proclamation, there has been rapid stockpiling of copper in the US, resulting in a surge in copper prices.

Copper price and inventories moving in tandem



(DWS Asset Management)

(The COMEX inventory measures how much copper has physically arrived in the US, largely from LME warehouses in Asia and Europe.)

2. China's Demand Has Collapsed

China is the world's largest copper consumer, accounting for around 60% of global copper consumption. According to Goldman Sachs, "China's consumption of refined copper has weakened materially" ("Why Record-High Copper Prices Aren't Forecast to Last"). It is estimated to have fallen to -8% year-on-year in Q4 2025 (Goldman Sachs, "Copper Prices Are Forecast to Decline Somewhat from Record Highs in 2026").

This matters for CPER because CPER tracks COMEX copper futures, which have been inflated by US stockpiling. When stockpiling demand decreases, COMEX prices will converge back towards the global market, which is impacted by weak Chinese demand and a forecasted 300 kt global surplus for 2026 (Goldman Sachs, "Why Record-High Copper Prices Aren't Forecast to Last").

About Copper and CPER

- Copper is the world's most electrically conductive non-precious metal, and is used mainly in electrical infrastructure and construction.
- CPER (United States Copper Index Fund) is an ETF that reflects the performance of the investment returns from a portfolio of copper futures contracts on the COMEX exchange, which makes it sensitive to US copper dynamics.

Catalysts

1. June 2026 Refined Copper Tariff Decision

The stockpiling of copper, which has led to a rise in copper prices, is directly linked to expectations regarding the refined copper tariff decision by 30 June 2026 (Deutsche Bank). If the 15% tariff is confirmed, it might increase copper prices. However, the extent is debatable.

Due to the currently high levels of US inventories. In early February 2026, US inventories exceeded 590,000 tonnes, five times the level of 2025 (DWS Asset Management). If the tariff is delayed or reduced, that could lower copper prices as the probability of a tariff reduces and focus shifts back to the well-supplied global market, according to Goldman Sachs ("Why Record-High Copper Prices Aren't Forecast to Last").



2. Lower probability of expansionary monetary policies

Copper demand directly correlates with industrial sector growth, where expansionary monetary policies, such as lowering rates, would stimulate industrial demand for copper. Before the US-Iran war, the market anticipation had been for a quarter percentage point rate reduction in June and likely another one in September, according to the CME Group's FedWatch calculations (Cox). However, the ongoing US-Iran conflict erodes expectations for rate cuts; The market now expects rate hikes this year due to the energy shock and rising inflation concerns (CME Group).

3. *AI Demand Expectations Are Overpriced*

The anticipation of AI-related demand from data centres, which use copper in cooling and power distribution, contributed to the early 2026 rally (Goldman Sachs, “Why Record-High Copper Prices Aren’t Forecast to Last”). However, the oil shock from the war may result in “AI capex bottlenecks”, potentially delaying data centre construction timelines and reducing the demand catalyst (Boughedda).



Evaluation

A possible risk is that supply disruptions may lead to a global shortage of copper. In September 2025, there was a fatal mudslide at the Grasberg mine in Indonesia, which accounts for around 3% of global copper supply, and is expected to remain closed until July 2026 (Reuters). Additionally, operational challenges at the Quebrada Blanca copper mine in Chile have caused a reduction in production guidance for 2026 (Mining Technology). However, copper is still estimated to be in surplus, despite it being smaller than that in 2025 (Goldman Sachs, “Copper Prices Are Forecast to Decline Somewhat from Record Highs in 2026”).



Target Price Justification

The \$30 target is estimated from 2 different anchors:

1. Goldman Sachs Research estimates that copper’s fair price is around \$11,500 per tonne, on a fundamental basis (“Why Record-High Copper Prices Aren’t Forecast to Last”). Mapping historical values, this translates to around \$31.50 CPER.
2. July 2025 precedent: When the refined copper tariff exemption was announced in July 2025, CPER dropped 20% in a single day, from \$35 to \$28 (Yahoo Finance). A comparable correction from the current price of \$35.46 would place CPER at \$28.37.

Conclusion

The current \$35.46 CPER price is largely driven by high levels of stockpiling in the US, in anticipation of a tariff decision that would end the stockpiling incentive by June 2026. This masks falling Chinese consumption, surplus in the global market, and eroding interest rate cut expectations. We recommend shorting CPER at \$35.46, targeting \$30 by July 2026.

Long European Carbon Credits under the EU ETS

Neal Hasan

Timeframe	10 months
Ticker	EUA
Current Price	€69/t as of March 13, 2026. (TradingEconomics).
Target Price	€95/t

Macroeconomic Background

The European Union's Emissions Trading System (EU ETS) provides a marketplace for firms to buy and sell carbon credits, European Union Allowances (EUAs), in the open market. The EU ETS “cap-and-trade” market is particularly unique in that it has created a commodity market to capture the negative externalities of greenhouse gas (GHG) emission, rather than physical commodities. Important features of the market are:

- Regulatory mechanism: Firms must submit an equivalent number of EUAs to account for their annual GHG emissions by April 30. One EUA is equivalent to one metric tonne (1000kg) of carbon dioxide equivalent emissions (CO₂e). Prices are thus quoted as €/t.
- Primary Market: EUAs enter the open market through auctions, held weekly. The number of new allowances auctioned per week halves in August and pauses from mid-December to early January (EEX).
- The Linear Reduction Factor (LRF) guarantees a 4.3% annual reduction in EUA supply (Scott, 9).
- The Market Stability Reserve (MSR) holds ~20-30% of EUAs and is used to stabilize prices in times of crisis in a similar fashion to central banks' open market operations (Scott, 5).
- The Cross Border Adjustment Mechanism (CBAM), officially launched in 2026, requires EU importers to submit EUAs to cover emissions created by the goods they are importing (EU Taxation and Customs Union).

The key macroeconomic and geopolitical considerations to keep in mind regarding this trade:

1. There is an opportunity to “buy the dip” following a significant drop in EUA prices in mid-February due to political uncertainty, as recent comments from German Chancellor Merz have led to a broader debate within the EU on the future of the program (Weise).

- Ongoing war in Iran has closed the Strait of Hormuz, through which flows one-third of the world's seaborne oil and one-fifth of global natural gas shipments each day. Oil prices briefly surpassed €100/barrel and, despite dropping since then, remain 15-20% above pre-conflict levels; LNG prices have soared over 50% from year-ago figures (Maguire).
 - a. Utilities and other major LNG users may be incentivised to turn to cheaper, higher-emission fuels such as coal, thereby driving emissions and carbon credit demand and illustrating the high correlation between LNG and EUA prices (Ong).
 - b. In response to these negative supply shocks, the IEA has announced the release of over 400 million barrels of oil reserves to help stabilise global energy markets (Ratcliffe et al). While this will provide some security in oil price affordability, prices remain extremely high at €87 per barrel as of March 13, 2026.
 - c. EUA prices are highly correlated (~ 0.8) with European gas prices (Yermolenko). Rising gas prices due to the end of the Ukraine-Russia transit agreement will boost EUA prices by increasing anticipated compliance demand (Breilean et al.).
- The REPowerEU scheme, launched in 2023 to support the EU transition toward renewables and away from Russian gas, was partially funded through the front-loaded sale of EUAs, meaning that future years' credits were sold early through the release of credits held in the MSR. The €20 Bn target for funding through EUA sales will be reached in 2026, sparking a large repurchase of credits (expected to be ~ 40 million credits) through the MSR to account for the previous front-loaded sales (Gualandi et al).
- There is an expected recovery in European industrial demand, driven by defence, pharmaceuticals, EV mobility, and data centres, which will require greater energy needs and drive EUA prices (Coleman et al). Growth rates are projected at 1.0-1.5% following similar rates in 2025 (Geijer et al), a strong recovery from negative growth rates in 2023 (-1.4%) and 2024 (-2.4%) (Eurostat).



Catalysts

This trade is primed for success due to three driving catalysts:

- EUA prices have historically demonstrated peaks in early January, making it the perfect time to close the long position. This is due to:
 1. Increased buying pressure as firms review emissions expectations for their annual emissions reports ahead of the April 30 allowance deadline (EEX).
 2. Portfolio reallocation by institutional investors, who have demonstrated a history of allocating new capital at the start of the year (Yermolenko).
 3. Lack of supply from the auction pause drives prices when auctions are relaunched in January due to pent-up demand.
- The introduction of the Cross Border Adjustment Mechanism (CBAM) in 2026 and associated reduction in free permits for legacy emitters will significantly increase demand and thereby prices.
- The end of the REPowerEU scheme will significantly reduce the number of carbon credits available in the market, which will drive large price increases from 2027.

Evaluation

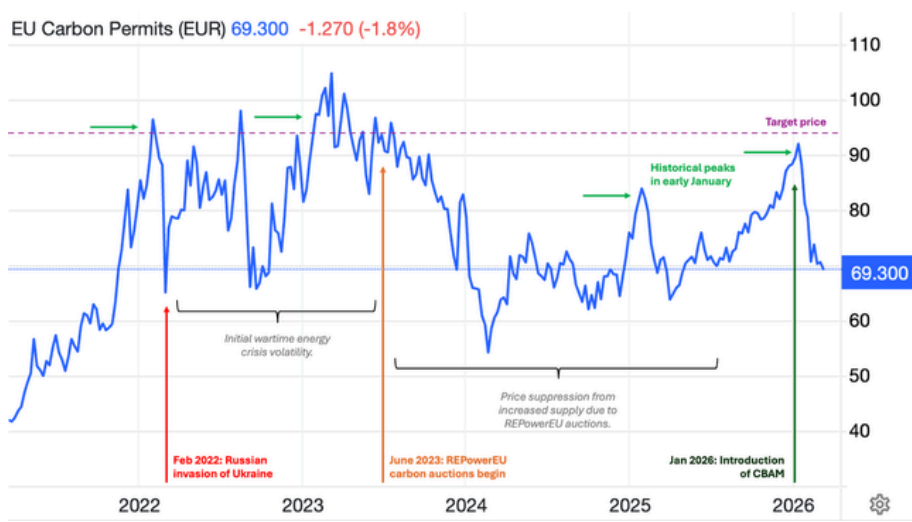
Risk factors to consider for this trade, both broadly and concerning the key catalysts, are:

Potential for political reform, which may weaken the EU ETS's effectiveness in reducing emissions. Recent policy debate sparked by German Chancellor Merz questioned the effectiveness of the program, and the ETS more broadly has come under pressure from European industrials who decry the high cost of carbon on their global competitiveness. Serious reform may lower prices to the point of creating losses on this trade, but the analyst believes the likelihood of such reforms is very low (5%) given recent reassurances from the EU clean transition chief Teresa Ribera (Munster).

Weak industrial demand will weaken demand for fossil fuels and thereby deflate EUA prices. Should EU industrial demand not have a strong year as forecasted, the target price may not be realized but it will not cause losses. Given sluggish industrial growth since 2022 (-1.5% in 2023, -2.4% in 2024, +1.5% in 2025) (Eurostat), there is a reasonable chance this occurs (25%), but it would not cripple the trade.

Significant growth in renewable energy generation capacity would reduce demand for fossil fuels and EUAs. The war in Iran has led to a significant rise in oil & gas prices, which creates a strong short-term incentive to switch to cheaper, higher-emissions fuel sources such as coal, creating positive EUA price pressure. In the medium- to long-term, however, there could be a stronger incentive for companies to switch to renewables for cheaper generation and zero EUA allowances needed. However, due to the current reliance on gas and limited renewables capacity, for example, in Germany, the analyst does not believe it is likely that even a massive growth in renewable capacity will be enough to cover the gap (5%).

EUA prices (in EUR) since 2016 as of March 13, 2026 (TradingEconomics)



The target price of €95 is justified by the following considerations:

EUA prices reached a high of €92/t in January 2026, showing a significant improvement from highs of €84 in 2024 and 2025. This shows a significant rebound in the market toward 2022-2023 levels, where the market reached a peak of €105/t. The introduction of CBAM and the end of REPowerEU will create positive price pressures that did not exist in prior years, strongly suggesting that the price will surpass the early €92/t peak this year.

In conclusion, the opportunity to long the EUA market is a significant opportunity to generate short-term capital gains through investment in a unique alternative environmental commodity market. Despite some geopolitical headwinds, factors including regulatory inertia, new and expiring policies, and economic conditions support the long thesis and, bought at the current price of €69/t and sold at the target price of €95/t, would generate ~38% returns.

Long Crude Oil: Supply shock risk from the Middle East

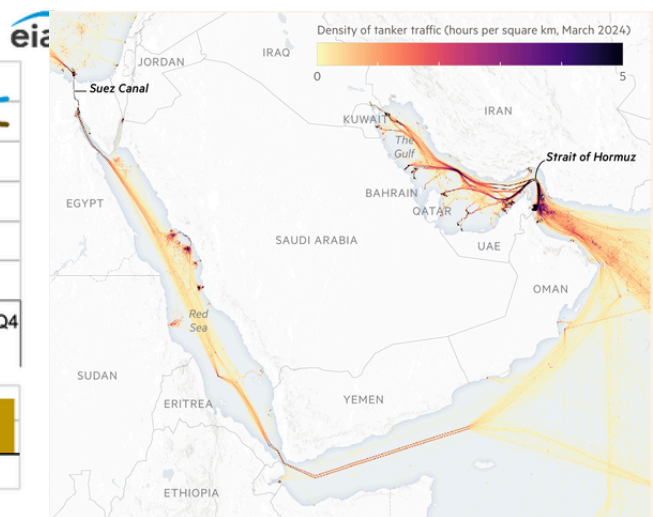
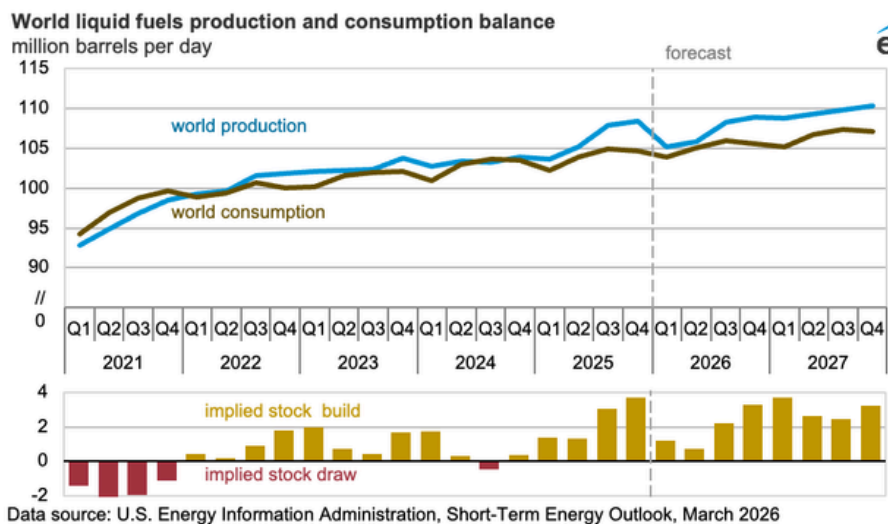
Yucheng Zhao

Timeframe	1-2 months
Ticker	CLF = F or BZ = F
Current Price	100 per barrel
Target Price	\$115 - \$120 per barrel

Macroeconomic Background

This pitch was written in the first few weeks of the US/Israel-Iran conflict. Recent developments may not be reflected.

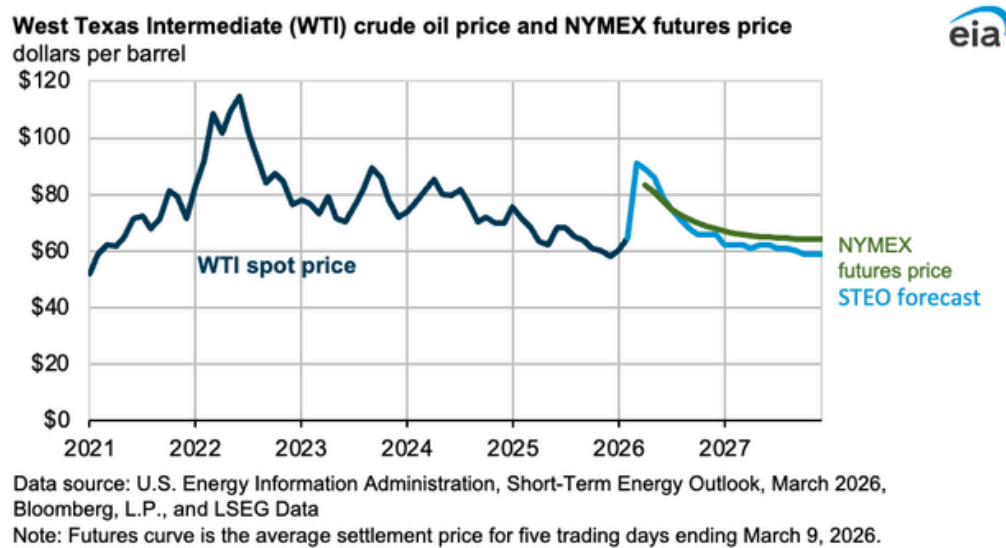
Global oil markets are currently facing conflicting forces. On one hand, long-term demand growth is slowing due to structural factors such as the adoption of electric vehicles and weaker Chinese growth. On the other hand, the Middle East remains the most important oil-producing region globally, accounting for roughly one-third of global oil supply. The ongoing US-Israel war on Iran has contributed to Tehran's threat to blockade the Strait of Hormuz, through which roughly 20% of global oil supply passes. Following that and due to the continuous escalation of the conflict, Brent crude rose from around \$70 per barrel on Feb 27 February to \$115 per barrel on 9 March. Historically, oil markets respond quickly to geopolitical tensions in the region. Even without actual supply disruption, the risk premium embedded in oil prices tends to increase during periods of uncertainty, pushing prices higher in the short term. Additionally, oil inventories remain relatively tight in several major economies, leaving the market vulnerable to sudden supply shocks.



Source: Global Maritime Traffic

Goldman Sachs provides the clearest quantitative framework for the current risk premium. Their strategists estimate that traders are demanding about \$14 more per barrel than before the conflict as a geopolitical risk premium. Their scenario analysis estimates the impact of a full one-month closure at \$10-15 per barrel above pre-crisis levels, depending on whether spare pipeline capacity and strategic reserves are deployed. However, Goldman explicitly notes that "oil prices can rise substantially more if the market demands a premium for the risk of more persistent supply disruptions."

The U.S. Energy Information Administration forecasts that Brent crude oil prices will remain elevated above \$95 per barrel in the near term due to geopolitical risks, before declining to below \$80 per barrel by the third quarter of 2026 and around \$70 by year-end, with further moderation to an average of \$64 per barrel in 2027. This outlook is highly dependent on the duration of the Middle East conflict and the extent of resulting oil supply disruptions.



Catalysts

Catalyst 1: Insurance and Shipping Paralysis Persists Beyond Any Ceasefire

The IEA explicitly identifies adequate insurance mechanisms and physical protection for vessels as the keys to resumption of flows, a precise distinction from political resolution alone. Even after a ceasefire, underwriters need confidence that the risk is genuinely over, crews need assurance they will not be targeted, and cargo owners need certainty before normal traffic resumes. This structural lag means supply disruption continues even if diplomacy accelerates, keeping prices elevated through the 1–2 month window.

Catalyst 2: Emergency Reserve Exhaustion

The 400 million barrel IEA release amounts to only around 20 days of typical Hormuz flows. The US's 172 million barrel contribution will be released over 120 days, implying just 1.4 million barrels per day, a small fraction of lost supply. As this buffer is drawn down over the coming weeks, the downward pressure on prices erodes, removing the main cap on further price rises.

Catalyst 3 — Houthi Escalation and Saudi Rerouting Risk

Yemen's Houthis, one of Iran's proxy militaries, have yet to enter the current conflict. Saudi Arabia is currently attempting to reroute approximately 70% of its exports through the Red Sea as a workaround to the Hormuz closure. If the Houthis resume attacks on Red Sea shipping or target Saudi pipelines directly, this partial workaround collapses entirely, removing the only meaningful supply offset Gulf producers currently have.

This is not a tail risk, it is a credible and specific threat that the market has not yet fully priced.

A further structural dimension: a representative of the Iranian oil exporters' union has stated that after the war, Iran will maintain control of the strait and could demand fees for passage, arguing that no country will be able to challenge this. If accurate, even a post-conflict resolution would not return crude oil to pre-crisis levels, it would simply shift the nature of the supply risk from disruption to extraction.

Evaluation

Risk 1: Faster-than-Expected Diplomatic Resolution

The main risk to this trade is a quicker-than-expected diplomatic resolution of the conflict, combined with effective naval intervention to secure oil shipping routes. The US has indicated it may act to ensure free transit, and many analysts believe it has the capacity to restore shipping flows. However, this could take anywhere from days to months, depending on Iran's response.



Risk 2: Trump's Political Unpredictability

Trump's mixed messaging on the conflict introduces a specific and hard-to-model risk. Traders have been confused by the president's unclear communication on how long the conflict will continue and how much he wants to bring prices down. His Truth Social post stating 'it is more important to me that Iran is stopped than the high oil price' and noting that 'when oil prices go up, we make a lot of money' signals he is not under strong domestic pressure to resolve the situation for oil price reasons, which supports the long thesis. However, a single unexpected policy statement, diplomatic overture, or executive action could move prices sharply in either direction, marking the least quantifiable risk in the pitch.

Long Gold: Rotation from Treasuries

Varun Vats

Timeframe	18-24 months
Asset	SDPR Gold shares (GLD)
Current Price	\$473.51 (March 6, 4pm EST, Yahoo Finance)
Target Price	\$540-560

Treasuries are the cornerstone of global financial architecture - it would be logical to expect the markets to be slow to abandon the 50-year assumption on them. Beyond 24 months, the government could begin fiscal consolidation, and the Fed could anchor inflation expectations, albeit unlikely. 18-24 months is 1-2 US debt cycles, giving enough time to capture newsflow catalysts and giving enough time for the yield feedback loop to show within US Treasury data.

Macroeconomic background

US Treasuries are well known as the safest and most liquid assets in the world. Until recently.

Traditionally, in return for the safety and liquidity of the US treasury, investors were willing to accept a below-market yield - named the ‘convenience yield’. It acted as a reward for the US government: less debt interest to repay, meaning less re-borrowing or tax money needed to be raised for repayment.

However, exploding US public debt - 55% of GDP in 2000 to 120% today for funding huge fiscal expansions has forced a saturation of the Treasury market, and is the primary cause of the convenience yield decline. A study finding such decline claims higher sensitivity for longer-term Treasuries to market saturation than their shorter counterparts (Jiang et al., 2025).

Of course, the actions of Donald Trump cannot go unnoticed. Upon the imposition of the highest tariffs in a century last April and May, yields and the dollar both falling have meant that US Treasuries have failed to act as a hedge against FX, lowering the convenience yield further. (Acharya and Laartis, 2025).

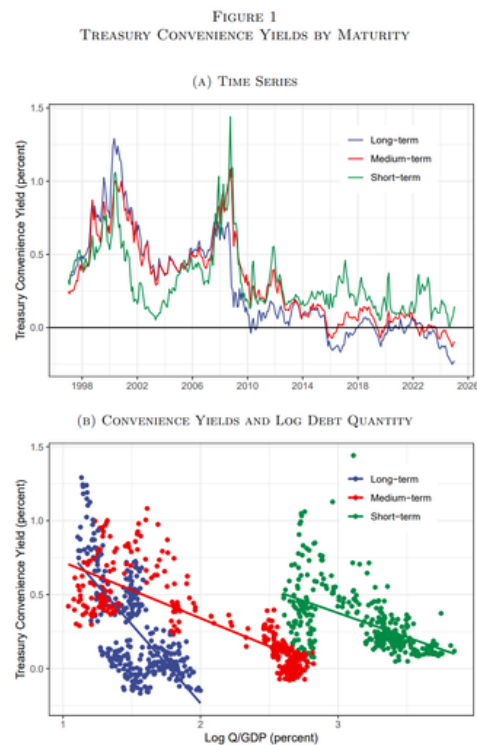


Figure 1: US Treasury Convenience Yields.
Source: Jiang et al, 2025.

Jiang et al. (2025) also claim that the convenience yield has declined below zero for higher maturities: the government is now paying investors a premium to hold the bond. Not the first feature of a safe-haven asset that comes to mind.

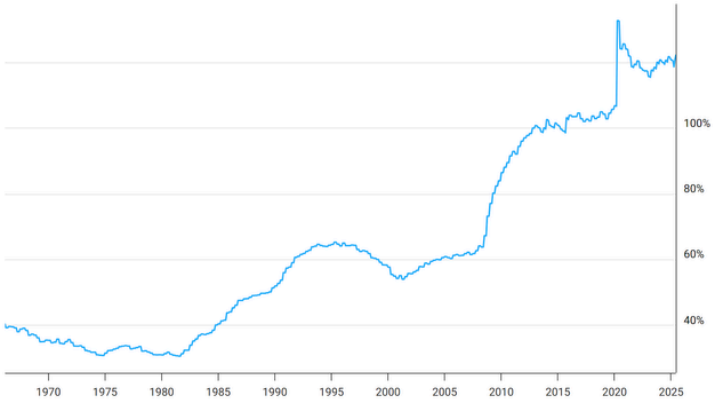


Figure 2: US Debt-to-GDP Ratio (All-time)
Source: Macrotrends.

Asset Introduction

Meanwhile, gold presents a strong case. Despite it having the volatility of equities, the commodity historically has had negative or zero correlation with equity movements, with surges in 2008 and 2020. An estimated \$36T market cap and 24/7 global trading provide extremely high liquidity. No counterparty risk means high credit quality, and for over a decade, gold has maintained its value. Demand from emerging market central banks and the tech sector has ensured structural demand, whilst investment demand has empirically surged when other assets come under stress.

Catalysts

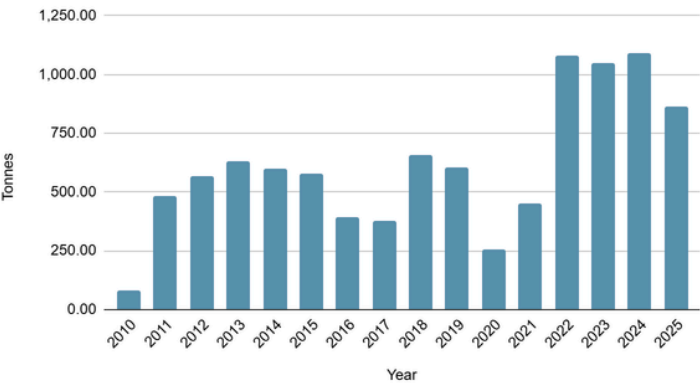
1. Rising US debt

The US fiscal trajectory is well-established, with its debt-to-GDP ratio likely to rise in the timeframe. A rising debt-to-GDP ratio creates a feedback loop of greater Treasury market saturation, worsening the convenience yield, raising borrowing costs, and requiring more debt to service current obligations. The earlier investors realise this cycle, the earlier the substitution away to an asset with zero counterparty risk - gold.

2. Continued central bank gold purchasing

Emerging market central banks are already purchasing gold to diversify away from US Treasuries. Gold's historic performance in times of financial stress and volatile inflation has given it credibility as a stable store of value. Rising US fiscal deficits and geopolitical fragmentation thanks to Trump are likely to make central banks continue their diversification, strengthening the structural demand for gold.

Gold Demand by Central Banks (Source: WGC)



Evaluation

1. Treasuries remain a dominant haven

It is highly unlikely within the timeframe that the US Treasury will be fully dethroned as the safe-haven asset, and it is not the goal of this pitch. However, marginal safe-haven demand is likely to increasingly flow to gold instead of the T-bill. This is sufficient to drive gold prices without a collapse in Treasury demand. Convenience yield data support this shift already happening.

2. Alternative safe-havens

The German Bund presents a strong argument to be the alternative to gold. The bund pays a yield, has a deep, liquid market (market cap of €1.3T). To tackle US fiscal credibility, a high-quality sovereign alternative that pays a yield is arguably a more direct hedge. The bund's low volatility due to government control can counter gold prices spiralling out of control. However, the Bund market is approximately 20x times smaller than the Treasury market, making it difficult for the market to absorb a large-scale reallocation without yields taking a severe hit. Gold's market cap is a similar size (\$36T compared to gold's \$30T), giving it a greater capacity to absorb the substitution.

Secondly, the decline in the convenience yield is a result of mainly fiscal expansion, which the bund protects against, but also inflation volatility, as yields fell with the dollar simultaneously. Tariff-driven inflation occurs globally, meaning European sovereign bonds are also likely to face their own pressures. Gold hedges both simultaneously.

Finally, gold has an empirical record of zero or negative correlation with equities during crises. Whilst the bund has performed well in those situations, it is naturally more sensitive to ECB or Europe-specific policy shocks. Gold's zero counterparty risk, therefore, makes it more robust across crisis scenarios.

3. Target Price

We extrapolate JP Morgan's model as a credible framework to layer the extra demand from Treasury substitution. The global research division found that approximately 70% of quarterly gold price movements emerged from central bank and investor demand. A threshold of 350 tonnes per quarter was also identified as the demand level to keep prices stable - meaning a 2% quarterly rise in price for every 100 tonnes demanded above 350 tonnes.

As a baseline, JP Morgan projects 585 tonnes of quarterly demand, with approximately 190 tonnes coming from central banks and the rest from ETFs, bars and coins. This would result in a 4-5% quarterly price rise as a baseline, which leads them to a \$505.50 GLD price by Q4 this year. Large institutions shifting small portions of Treasury allocations to gold are likely to result in annual ETF inflows much larger than JPM's predicted 250 tonnes. An extra 50-100 tonnes quarterly translates to 1-2% appreciation above the baseline, compounding over 6-8 quarters.

Conclusion

The US Treasury Convenience Yield is in structural decline, with no sign of recovery in our timeframe. The evidenced failure of the Treasury to hedge FX risk during Trump's tariff fiasco last year means the marginal safe-haven allocation towards gold is already underway in the data. Strong liquidity, zero counterparty risk and empirical behaviour during crises make it the most credible beneficiary of the shift, whilst the bund will take a backup role during periods of high price volatility. At a target of \$540-560 per GLD share over 18-24 months, a deserting Treasuries is not the goal; instead, the continuation of an ongoing structural process.

Long GBP/EUR: Monetary Policy Divergence

Haran Maruthainar

Timeframe	6-12 months
Currency pair	GBP/EUR
Current price	GBP/EUR $\approx$ 1.16 (£1 = €1.16)
Target Price	GBP/EUR $\approx$ 1.21 (£1 = €1.21)

Macroeconomic Background

Across many advanced economies, economic growth has declined and is expected to decelerate further in 2026 due to structural factors such as ageing populations, persistently low investment, and rising protectionism (EY-Parthenon, 2024). This has contributed to lower demand-pull inflation in the UK and the Eurozone.

The UK's CPI inflation rate decreased from 3.4% in December 2025 to 3.0% in January 2026 (ONS, 2025), and the Eurozone annual inflation fell from 2.0% in December 2025 to 1.7% in January 2026 (Eurostat, 2025). However, inflation in the Eurozone has declined more rapidly than in the UK, and the UK's inflation rate remains above the Bank of England's (BoE) 2% inflation target, whereas inflation in the Eurozone has already fallen below the 2% target. Therefore, there is greater pressure on the European Central Bank (ECB) to implement expansionary monetary policy and cut interest rates than there is on the BoE.

The composition of inflation differs between the UK and the Eurozone. In the UK, services inflation remains relatively high compared to goods inflation and is approximately 4.4% (ONS, 2025). Since services inflation is driven by slower-adjusting, domestic factors like wages rather than volatile global commodity prices, inflation in services tends to be more persistent than inflation in goods (Harari, 2025). Consequently, the disinflation process in the UK is likely to be slower, and thus, there is less pressure on the BoE to reduce interest rates.

This dynamic is reinforced by the structure of the UK economy, where services account for 81% of total economic output (Brien, 2020). Since inflation in the UK is higher than in the Euro area and is likely to be more persistent, markets increasingly expect the ECB to begin cutting interest rates before the BoE.

FX Mechanism

The asset class used in this pitch is foreign exchange (FX). FX markets involve trading one currency against another. Currencies are always traded in pairs, meaning that buying one currency automatically involves selling another. A long GBP/EUR position means that an investor is buying the British pound and simultaneously selling the euro, due to expectations of the British pound strengthening relative to the euro.

FX markets are the largest and most liquid financial markets in the world, with daily trading volumes exceeding \$7 trillion. Exchange rates are influenced by factors such as interest rate differentials, inflation expectations, economic growth, and international competitiveness. When one country maintains higher interest rates than another, financial assets denominated in that currency typically offer higher yields, attracting international investors, increasing the demand for the country's currency, and thus, putting pressure on its price upwards.

If the ECB begins cutting its base interest rate before the BoE, government bond yields, corporate bond yields, and rates of return on saving accounts in the Eurozone will fall relative to those in the UK. Therefore, demand for European assets will fall, and demand for UK assets will increase. Capital flows are likely to shift towards UK assets, increasing demand for the sterling relative to the euro, thus leading to an appreciation of the pound relative to the euro.

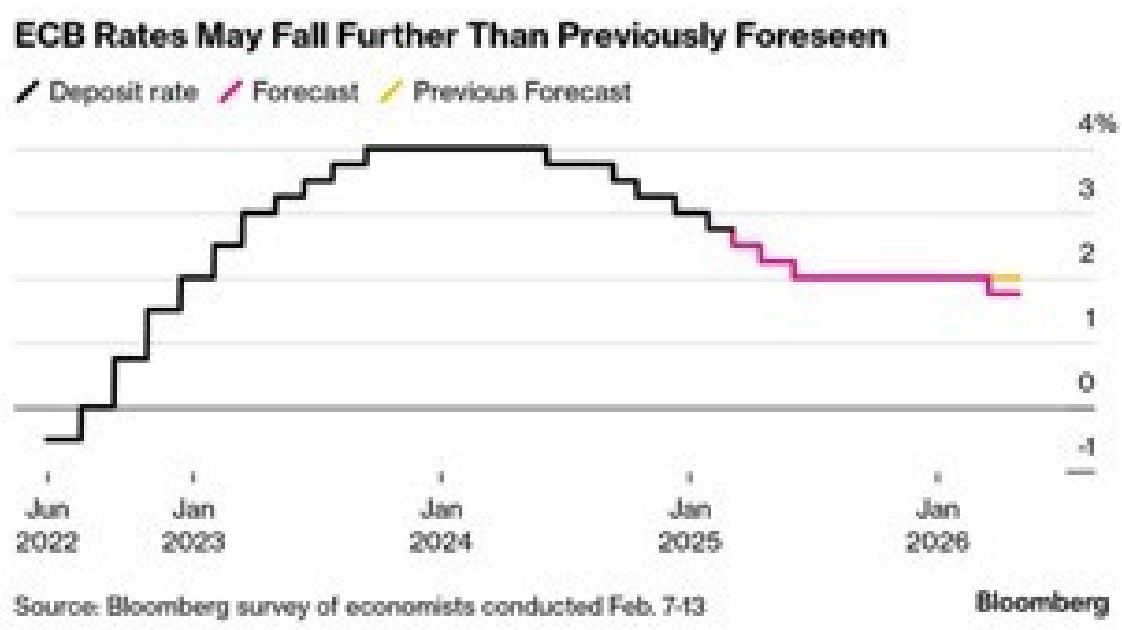


Figure 1: ECB Policy Rate Expectations Revised Downwards (Weber and Harumi Ichikura, 2025)

Labour market data in the UK supports the view that inflation may remain persistent. In 2025, annual growth in employees' average earnings was 4.7% (ONS, 2025). Strong wage growth can sustain services inflation and may require the BoE to maintain contractionary monetary policy to meet its 2% inflation target.

Recent data indicate that economic activity in the Eurozone remains relatively weak. GDP is hovering slightly above 1%, with industrial production particularly weak in manufacturing-heavy economies such as Germany (Piero Cingari, 2025). Slowing growth coupled with inflation below the 2% inflation target increases the probability of earlier ECB rate cuts.

Evaluation

A significant risk to the trade is a faster-than-anticipated slowdown in the UK economy. If UK economic growth weakens significantly, the BoE may be forced to cut interest rates to support activity, despite inflation being above its target. The IMF has warned that the UK may lag behind other advanced economies in terms of growth (Alencar, 2026). Therefore, the likelihood of this risk is moderate, especially since the UK has shown low productivity and growth in recent years. Such a scenario would reduce the interest rate spread between the UK and the Eurozone, meaning that the sterling does not appreciate relative to the euro as greatly as expected.

Furthermore, a stronger-than-expected recovery in the Eurozone economy poses a risk to the trade pitch. If growth accelerates in Eurozone countries, the ECB may delay implementation of rate cuts, as they may be willing to maintain inflation around the 2% target. Analysts believe the Eurozone's industrial recovery is gaining momentum, suggesting that rate cuts may be unnecessary, particularly since inflation below its target may partly reflect temporary declines in energy prices (Houte, 2025). Nevertheless, this risk is less likely as whilst some indicators suggest that Eurozone industrial activity may be recovering, overall growth in the area remains modest, with annual industrial production growth being 2%.

If either of these risk factors occurs, the position could be closed early to limit downside risk. Alternatively, a stop-loss level can be implemented, so that the trade is exited after a lower price than the target price to limit losses. Furthermore, the position could be partially reduced, or FX exposure could be hedged temporarily. For example, if due to subdued economic growth in the UK, the BoE cuts interest rates, and the GBP depreciates, shorting another GDP pair can reduce overall exposure to the pound.

Target Price Justification

The target price of 1.21 represents an appreciation of approximately 4–5% from the current level of 1.16. Historically, interest rate differentials have been a key driver of exchange rate movements. In the case of the GBP/EUR exchange rate, periods where UK yields have exceeded Eurozone yields have often coincided with stronger performance of the pound relative to the euro. For example, during the Bank of England tightening cycle between 2022 and 2023, UK policy rates rose more rapidly than those in the Eurozone, contributing to a widening yield differential between UK gilts and Eurozone government bonds. Over this period, GBP/EUR moved from approximately 1.12 to around 1.17, illustrating how interest rate differentials can influence currency valuation (Solomon, 2023).

Conclusion

This pitch recommends a long GBP/EUR position based on the expectation of diverging monetary policy between the Bank of England and the European Central Bank. Persistent services inflation and strong wage growth in the UK suggest that the BoE may maintain relatively tight monetary policy, while weak economic growth and lower inflation in the Eurozone increase the likelihood of earlier ECB rate cuts.

If this divergence materialises, the resulting yield differential could attract capital inflows into sterling assets and support appreciation of the pound relative to the euro. While risks remain, particularly related to UK growth and potential Eurozone recovery, the current macroeconomic environment supports a bullish outlook for GBP/EUR over the next 6–12 months.

Sell GBP/USD

Qihang Chen

Timeframe	6-12 months
Ticker	GBPUSD
Entry Price	1.3374
Exit price	1.3

Macroeconomic Background

This pitch takes a bearish view on GBP/USD (GBPUSD=X). The spot rate was 1.3374 at 09:32 GMT on 2 March 2026 (Yahoo Finance screenshot). The trade expresses this view by buying a GBP/USD put option with a Dec 2026 expiry and an at-the-money (ATM) strike (near spot), with a target price of 1.30.

In simple terms, a put option gives the holder the right, but not the obligation, to sell GBP for USD at a pre-agreed rate (the strike) on or before a set date (the expiry). The buyer pays a premium upfront. If GBP/USD falls below the strike, the put gains value; if GBP/USD rises instead, the maximum loss is the premium paid. An outright short GBP/USD would be a more direct way to express a bearish view, but it carries theoretically unlimited losses if GBP rallies and can be stopped out by short-term volatility before the macro thesis has time to play out. A put option avoids these issues by defining risk upfront and providing convex exposure: profitability increases as GBP/USD falls further, without the margin pressure associated with short positions. The trade-off is the premium cost, which is forfeited if GBP/USD is flat or higher at expiry. An ATM strike balances option cost and sensitivity to a moderate move toward 1.30; a deep out-of-the-money put would be cheaper but would require a much larger decline to pay off. The Dec 2026 expiry gives the thesis enough time for macro data and BoE expectations to reprice, which is unlikely to happen immediately.

The macro logic rests on relative growth momentum and relative monetary policy expectations between the UK and the US. The UK economy has been close to stagnation: GDP grew 0.1% q/q in both Q3 and Q4 2025. The labour market has softened, with unemployment rising to 5.2% in the three months to December 2025. Inflation has eased, with CPI at 3.0% in January 2026. In this setting, the Bank of England held interest rates at 3.75%, but the vote was a close 5–4 split, signalling meaningful internal support for easing if data continue to weaken. In the US, policy remains relatively restrictive, and the USD tends to draw support from yield and liquidity demand during periods of global uncertainty. This matters because GBP/USD reflects not only UK fundamentals, but also global risk sentiment and USD demand. Recent U.S.–Iran escalation matters mainly through risk premia and energy prices.

It can increase uncertainty and support USD in risk-off periods (which supports this trade), but it can also raise energy-driven inflation risks (a headwind, because it could delay rate cuts). Notably, the US has not released oil from the Strategic Petroleum Reserve so far, which reduces the buffer against sustained price increases if the conflict drags on. Geopolitics, therefore, acts as a secondary influence: it may amplify USD strength and FX volatility, while the core driver remains UK weakness and a dovish repricing of the BoE path.

Thesis and Data

GBP/USD moves toward 1.30 over 6–12 months as UK data remain soft and markets price a more dovish BoE path than currently expected, while USD remains relatively supported.

FX moves are largely driven by expected short-rate paths and risk premia. On the rate-path channel, weaker UK growth and a softening labour market increase the probability of BoE cuts, reducing expected returns on GBP assets and weighing on sterling. On the risk-premia channel, elevated geopolitical uncertainty can support USD through safe-haven and liquidity demand. The put option benefits if GBP/USD declines, while keeping downside limited if the thesis proves wrong.

Catalysts

First, upcoming UK labour market and inflation releases could confirm continued cooling. If that happens, markets are likely to bring forward expectations of the BoE easing, pressuring GBP. Second, BoE communication matters because the committee is closely split; incremental changes in tone or guidance can shift rate expectations and, in turn, sterling. Third, if geopolitical uncertainty persists, periodic risk-off episodes can support USD and increase FX volatility, which tends to benefit an option-based implementation.

Evaluation

This section outlines the main scenarios in which the trade may not work, how likely they are, and the appropriate response.

- Risk 1: Energy inflation delays cuts. If energy prices remain elevated long enough to lift UK and US inflation meaningfully, central banks may cut less than expected. The fact that the US has not released oil from the Strategic Petroleum Reserve increases this risk. This would weaken the "BoE cuts" channel that drives GBP downside in the base case. Action: the option's premium-defined loss limits downside, and rolling the position would not make sense unless the underlying UK weakness thesis remains intact.
- Risk 2: The UK economy rebounds or inflation persistence returns. If UK growth improves or domestic inflation remains sticky, the BoE may delay easing, and GBP could strengthen against USD. Action: adding exposure would not be justified in this scenario; the put option structure already limits losses to the premium.

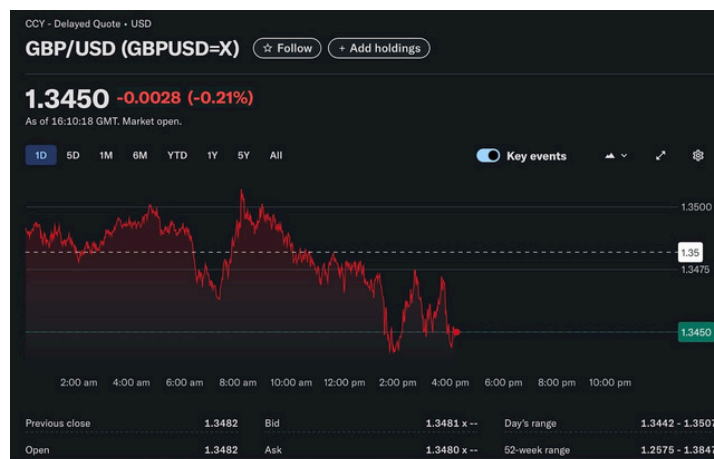


Figure 1. GBP/USD (GBPUSD=X) intraday chart.
Quote 1.3374 at 09:32 GMT on 2 Mar 2026.
Source: Yahoo Finance (UK), accessed 2 Mar 2026.

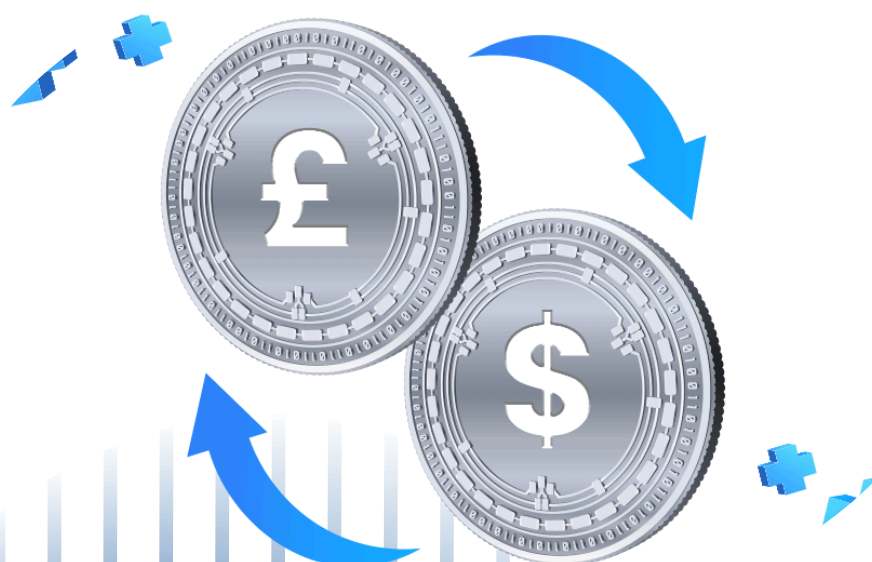
- Risk 3: Broad USD weakening offsets GBP weakness. If US data deteriorates sharply and markets reprice aggressive Fed cuts, USD could weaken broadly, limiting GBP/USD downside even if the UK remains soft. Action: reducing position size or expressing the view through a put spread would lower the net premium at risk.
- If catalysts do not play out: By mid-2026, if UK data are not weakening and the BoE is not turning more dovish, rolling the option would not be warranted. The premium represents the cost of the view, though closing earlier may recover some time value.

Target Price Justification

Spot is 1.3374, and the target of 1.30 implies approximately 2.8% downside — $(1.3374 - 1.30) / 1.3374$. This is a moderate move that does not require a crisis. It is consistent with ongoing UK stagnation, labour market softening, easing inflation, and a BoE that is already closely split, which makes rate expectations sensitive to marginal negative data surprises. Geopolitical risk provides support through risk-off USD demand, but the base case does not depend on it.

Conclusion

This pitch recommends a defined-risk bearish position on GBP/USD using a put option. The core driver is relative UK weakness and a plausible dovish repricing of the BoE path, with USD support during uncertainty as a secondary tailwind. The option structure manages event-driven volatility and avoids the open-ended risk of an outright short. Target: 1.30 over 6–12 months.



Long Uranium: Global shift toward nuclear energy

Tejas Bansal

Timeframe	6-12 months
Ticker	URA
Entry Price	48.43
Exit Price	58.12

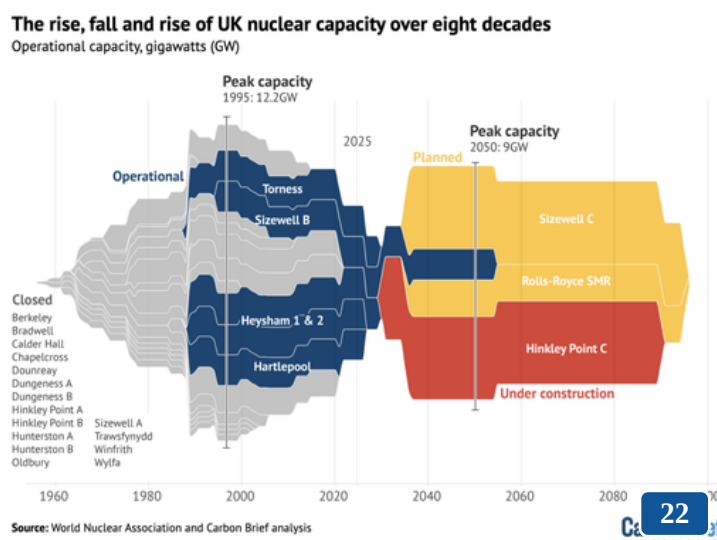
This pitch recommends going long uranium through the Global X Uranium ETF (URA).
Rationale: Rising demand for nuclear power and structural shortages of uranium supply will push uranium prices higher.

Asset Class Introduction

Uranium is a commodity used as fuel in nuclear power plants. Unlike other commodities, uranium is mainly sold through long-term contracts between utilities and mining companies, which creates relatively stable demand. At the same time, new uranium mines take 10–20 years to develop, meaning supply cannot quickly increase when demand rises.

URA is an exchange-traded fund (ETF) that invests in companies involved in uranium mining and nuclear energy production. ETFs trade on stock exchanges like regular stocks but provide exposure to a basket of companies rather than a single firm. URA holds major uranium producers such as Cameco and Kazatomprom, giving investors diversified exposure to the uranium industry.

This trade benefits if nuclear power expands globally and uranium demand increases, pushing uranium prices higher. In this scenario, uranium mining companies would generate higher revenues, thereby increasing the value of uranium-focused equities and ETFs, such as URA.



Macroeconomic background

At present, there are over 400 nuclear reactors globally, accounting for ~9% of the world's energy supply.

Governments and businesses, both, are committed to nuclear expansion:

- China is the global leader in nuclear construction. In 2025, the Chinese government approved 10 new reactors across coastal provinces, valued at ~\$27 billion (Highlights).
- The UK aim to increase nuclear capacity to 24 GW by 2050, which is approximately 4 times the present capacity. To do so, the government's strategy aims to build new reactors (e.g., Hinkley Point C) as directed by Great British Nuclear (World Nuclear News).
- Several South-East Asian developing countries, such as Indonesia (~5.3 GW by 2032), the Philippines (4.8 GW by 2050), and Vietnam (4-6.4 GW by the 2030s), that are currently lacking nuclear plants, are planning programmes and aiming to expand their capacity (Highlights).

Catalysts

Geopolitical tensions in the Middle East, including the recent closure of the Strait of Hormuz by the Iranian government, have prompted governments to re-evaluate their energy policies. One strategy is to accelerate the adoption of nuclear energy as a reliable alternative to crude oil. Most notably, the European Commission President Ursula von der Leyen stated that turning away from nuclear energy was a 'strategic mistake' (Royer).

Rapid growth in AI and digital infrastructure is driving an increase in global energy demand. For example, US electricity consumption is expected to reach record highs of 4,260 billion kWh in 2026 and 4,388 billion kWh in 2027, largely driven by increasing AI data centres. Investments in stable energy sources such as nuclear power have increased and will continue to do so as a result.

Evaluation

Firstly, political opposition to nuclear power still lingers following the 2011 Fukushima nuclear disaster. Countries such as Germany are committed to decommissioning nuclear plants as a result of the terrifying effects Japan faced. Many reactors have remained offline for years due to regulatory reviews and public opposition, and reversing this now will be difficult.

Secondly, there is also a risk that other renewable energies and storage technologies become cheaper and more efficient, reducing the need for nuclear power. Some countries have committed to other renewable energy strategies. For example, Japan's current energy plan aims for 40-50% of electricity to come from renewables by 2040, while nuclear power would account for only ~20% (McCurry)

Conclusion

Rising nuclear energy demand and a constrained supply signal show that the uranium market is entering a structural bull cycle. It is expected that demand for uranium will grow in the short-term while mine production remains limited in the short-medium term. This provides a compelling opportunity for the next 12-18 months to invest in long uranium through the Global X Uranium ETF (URA).

Long tech ETF: Haven from rising energy costs

Dahyun Oh

Timeframe	12-18 months
Ticker	QQQ
Target Price	~10-15% upside over 6-12 months

Macroeconomic Background

On February 28, 2026, the United States and Israel launched joint strikes on Iran, initiating a major regional conflict. This created a significant geopolitical shock to the global energy markets, as it interrupted the supply of oil through the Strait of Hormuz. Consequently, oil prices have skyrocketed, especially in the US, creating an inflationary shock.

Headline CPI for March 2026 came in at 3.3% year-over-year, driven almost entirely by a 10.9% surge in energy prices. However, core CPI, which excludes food and energy, was at 2.6% year-over-year, below forecast, signalling that the inflationary pressure is supply-side in nature, not demand-driven.



This distinction is central to the investment thesis. Demand-pull inflation is caused by an overheating economy, which the Fed combats with rate hikes. Conversely, cost-push inflation is caused by external disruptions to supply, such as the ongoing Iran War. Since raising interest rates can not reopen the Strait of Hormuz, it can not address the cause of the inflation, and accordingly, the Fed has chosen to hold rates steady. In fact, CME Group FedWatch data shows a 96.4% probability of rates remaining at 350-375 basis points at the April 29 meeting.

This benefits growth stocks, which are major components of QQQ, and are valued on future earnings discounted back to today. The higher the discount rate, the less those future earnings are worth now. Since interest rates are predicted to remain steady, discount rates will remain constant, so future earnings retain their present value. Meanwhile, AI-driven mega-cap earnings continue to compound as AI demand is structural, not cyclical. Hence, QQQ will retain its value.

Asset Class Overview

QQQ is an exchange-traded fund that tracks the Nasdaq 100 index. QQQ holdings are dominated by mega-cap technology companies such as Apple, Amazon, Alphabet, and Meta. An ETF is a basket of securities that trades on an exchange like a stock.

- **Diversification:** QQQ provides exposure to dozens of leading technology companies rather than relying on a single stock, reducing idiosyncratic risk.
- **Liquidity:** As one of the most heavily traded ETFs globally, QQQ offers tight bid-ask spreads and easy entry/exit.
- **Lower Company-Specific Risk:** Weak performance by one firm can be offset by strength in others, making it less volatile than individual equities.
- **Structural Growth Exposure:** The fund captures long-term themes such as artificial intelligence, cloud computing, and digital infrastructure.

Catalysts

Ceasefire: If the Iran conflict concludes in days rather than months, the ceasefire will reduce energy prices, ease inflation expectations, and push any existing interest rate hike fears back. This would directly relieve the pressure on QQQ. While the peace talks are ongoing, whether a ceasefire will occur is uncertain.

AI earnings resilience: QQQ's mega-cap holdings (Nvidia, Microsoft, Meta, Alphabet) are reporting strong earnings driven by AI infrastructure spending, largely independent of the geopolitical backdrop. Continued earnings growth could justify re-expansion of valuation multiples even in a volatile macro environment.

Evaluation

The core thesis comes from the insight that tech stocks were initially sold off at the onset of the war, not because rates actually rose, but because the war created credible fear that they might. When that fear eased, as core CPI printed soft and the Fed signalled a hold, QQQ recovered sharply, gaining approximately 4% in a single week with seven consecutive up sessions.

Conflict escalation: Trump announced the US blockade of Iranian ports on 13th April 2026. Iranian retaliation, such as mining the Strait, attacking tankers, or drawing in regional proxies, could send oil prices sharply higher, deepen stagflation fears, and reduce tech valuations. So far, oil prices have risen by 4% due to the conflict, and it is unclear when the strait will open again. The risk is high, as the conditions for escalations are already present, as the US blockade was announced, and Iran's IRGC has warned that any vessels approaching the Strait "will be dealt with harshly and decisively."

Fed hikes despite soft core CPI: If headline inflation stays elevated long enough, the Fed may feel politically pressured to act even if core inflation is contained. A surprise rate hike on April 29 or beyond would be a direct headwind to QQQ's valuation, compressing multiples further. The risk is low, since the Fed is unlikely to increase interest rates for a supply shock.



Conclusion

The long QQQ thesis is built on the condition that energy-driven inflation has suppressed tech valuations through fear of rate hikes, but the Federal Reserve has no intention of raising rates to combat a supply shock it cannot fix. As long as core inflation remains contained and the Fed holds, the valuation compression is unwarranted by fundamentals, and QQQ's mega-cap AI and technology earnings continue to compound.

CONCLUSION

The 2026 Macro Outlook closes against a backdrop of geopolitical shocks, central bank divergence, and a fundamental rethink of what constitutes a "safe" asset have left investors navigating a landscape where the old playbooks no longer fully apply.

A Synthesis of Our Views

In commodities, Carol's short on CPER identifies a copper market distorted by tariff-driven stockpiling that masks weakening Chinese demand, while Neal's long on EU carbon credits captures a regulatory tightening that the market has yet to fully price. Yucheng's long crude oil pitch frames the Middle East risk premium as both immediate and structural; a view echoed, from the opposite side, in Dahyun's long QQQ thesis, which argues that supply-side inflation cannot be answered by Fed hikes. Our FX coverage highlights how policy divergence is the cleanest expression of these macro fault lines. Haran's long GBP/EUR position rests on the ECB cutting before the BoE, while Qihang's defined-risk short on GBP/USD takes the opposite leg of sterling, which was a useful reminder that the pound's relative strength depends entirely on what it is measured against. Tejas's long uranium call ties together the energy security and AI-demand narratives that surface elsewhere in the report, and Varun's switch from US Treasuries into gold may prove the most consequential view of all: a structural shift in what global capital treats as a haven.

Common Threads: Three themes recur. First, geopolitics is the base case, shaping oil, carbon, uranium, and FX simultaneously. Second, monetary policy is becoming regionally idiosyncratic, creating tradeable spreads in rates and currencies. Third, the consensus on safe assets is fragmenting, and the marginal flows into gold, defensive equities, and non-US sovereigns deserve close attention over the coming year.

Acknowledgements

This outlook is the product of genuine collective effort. Our sincere thanks to the analysts who contributed their time, rigour, and originality: **Carol Sheng, Neal Hasan, Yucheng Zhao, Dahyun Oh, Haran, Qihang Chen, Tejas Bansal, and Varun Vats**. Each pitch in this report reflects independent research, careful sourcing, and a willingness to defend a view, exactly the qualities we hope to cultivate in the Macro Markets Society.

Looking Ahead

By the time our next outlook reaches readers, many of the catalysts identified here will have played out, some confirming our theses, others challenging them. We welcome both outcomes. The purpose of this report is not to be right in every call, but to train ourselves to think clearly about an uncertain world. We hope future editions will deepen our coverage of emerging markets and continue to attract analysts who bring fresh perspectives to the macro conversation. Until then, we wish our readers a thoughtful and well-positioned 2026.